

compensation price demanded in exchange for the disposal of an endowed asset.

3. Endowment bias causes investors to hold securities that they have either inherited or purchased because they do not want to incur the transaction costs associated with selling the securities. These costs, however, can be a very small price to pay when evacuating an unwise investment.
4. Endowment bias causes investors to hold securities that they have either inherited or purchased because they are familiar with the behavioral characteristics of these endowed investments. Familiarity, though, does not rationally justify retaining a poorly performing stock or bond.

## RESEARCH REVIEW

Professor John A. List of the University of Maryland authored a unique and highly relevant paper entitled “Does Market Experience Eliminate Market Anomalies?”<sup>5</sup> that reviewed some key aspects of endowment bias, the lessons of which can be relevant to investors. In the paper, Professor List tried to ascertain the effect of trading expertise on an individual’s susceptibility to endowment bias. List’s sample population traded sports cards and other sports memorabilia, and the key result of List’s empirical analysis was that traders with more real-world experience were less susceptible to endowment bias. Most professional sports memorabilia dealers, for example, showed little biased behavior. List also demonstrated that people who are net sellers learn how to trade better and more quickly, with less biased behavior, than people who are net buyers. These lessons have direct implications for securities markets, and readers should take note:

*Neoclassical models include several fundamental assumptions. While most of the main tenets appear to be reasonably met, the basic independence assumption, which is used in most theoretical and applied economic models to assess the operation of markets, has been directly refuted in several experimental settings. . . . These experimental findings have been robust across unfamiliar goods, such as irradiated sandwiches, and common goods, such as chocolate bars, with most authors noting behavior consistent with an endowment effect. Such findings have induced even the most ardent supporters of neoclassical theory to doubt the validity of certain*